

IND AS 12 — INCOME TAXES

Current & Deferred Tax Framework

1. CURRENT vs DEFERRED TAX

Current tax = amount of income taxes payable/recoverable in respect of taxable profit for the period. Deferred tax arises from temporary differences between carrying amount of assets/liabilities and their tax base.

2. TEMPORARY DIFFERENCES

Taxable temporary differences → deferred tax liability. Deductible temporary differences → deferred tax asset (recognised only to the extent it is probable that taxable profit will be available against which the deductible temporary difference can be utilised).

3. MEASUREMENT

Deferred tax is measured using tax rates (and laws) that have been enacted or substantively enacted by the end of the reporting period and are expected to apply when the temporary difference reverses. Never discounted.

4. JOURNAL ENTRIES

Current tax: Dr Current Tax Expense Cr Current Tax Payable

Deferred tax: Dr Deferred Tax Expense / Cr Deferred Tax Asset or Liability (or vice versa)

Items recognised in OCI → related tax also in OCI.

5. RED FLAGS

- Deferred tax assets recognised without convincing evidence of future taxable profits
- Uncertain tax positions not measured using most-likely or expected-value approach
- Outside basis differences on subsidiaries not recognised when required
- Tax rate changes not reflected in the period of enactment
- Aggressive recognition of deferred tax assets timed with profitability pressure

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi